

ASX ANNOUNCEMENT

15 November 2022

MINERALISED FOOTPRINT GROWS TO 1.3KM AT ABERCROMBY GOLD PROJECT

Highlights:

- Results from the recent diamond drilling program continue to demonstrate a large high-grade mineral system at Abercromby with both oxide and fresh mineralisation confirmed along a strike of more than 1.3km
- Extensional drilling delivers wide intercepts of gold mineralisation – up to 90m thick – in zones that are below and along strike from the existing mineralised footprint
- Conformity of mineral system to the South has been confirmed by infill and extensional drilling, with both primary lodes – East Lode and West Lode - remaining open
- Significant zones of alteration in the mineralised system underlines the strong potential for further high-grade ounces in Capital and Capital South, and the prospect for other Capital style discoveries comprising both oxide and fresh mineralisation in regional targets to the South at Archer and Barrack
- The next phase of Metallurgical test work is underway to expand the initial testwork which determined Abercromby ore as free milling and amenable to traditional carbon-in-leach processing
- Planning for the next phase of drilling underway

Western Australian gold explorer BMG Resources Limited (**ASX: BMG**) (**BMG** or the **Company**) is pleased to announce that assays from the Company's recent diamond drilling (DD) program at the Abercromby Gold Project have delivered another significant batch of gold results, materially adding to the known mineralised envelope at the Capital Prospect which remains open at depth and along strike.

Drilling expanded on the excellent results for the previous drilling campaign completed in the June quarter, that more than doubled the mineralised envelope and continued to define regional targets.

BMG Managing Director Bruce McCracken said:

"This latest round of diamond drilling has continued to grow the mineralised footprint at Abercromby and build upon the significant gains we've made with the drill bit this year.

"The extensional and infill targeting from this program confirmed continuity of the mineralised system, further extensions to the south, and successful intersection with the West lode from deeper drilling, with both primary lodes remaining open in all directions.

“Importantly, the target zone of mineralisation through the weathering profile has been extended with potential for further significant expansion to the south where aircore drill results have highlighted a broad area of gold anomalism that is prospective for more near-surface oxide material.”

Gold Intersections Confirm Continuity and Extension of Mineralised Footprint

Laboratory assay results have been received for the seven hole, 3,989m DD program, completed in September 2022, which focussed on infill, extensional and resource definition drilling at the Capital Prospect, part of the Company’s high-grade Abercromby Gold Project. Details of the six DD holes completed, and a seventh hole that was abandoned due to drill bit failure are outlined Table 1 in Schedule 1.

This third major drilling campaign by BMG followed excellent results from the highly successful second drilling campaign, completed earlier this year, which more than doubled the mineralised envelope and continued to define regional targets. This latest round of assay results builds on the Company’s understanding of the exciting gold deposit and potential for significant scale.

Mineralisation comprises several north-west trending lodes that contain high-grade, plunging shoots. The latest drill results have continued to define these mineralised zones as shown in the Figures, below. All holes intersected mineralisation in positions at or near planned locations down hole.

Most significantly, the drilling confirmed the southward continuation of the mineralised structure, with both lodes returning mineralised intercepts. The strong intercept of the West Lode in hole 21ABDD007A, indicates the possibility of another high-grade shoot is present; which will need to be verified with further drilling. This drill hole was completed 335m south of previous known mineralisation in the West Lode intersecting 5.56m @ 3.5 g/t Au from 400m, demonstrating significant strike extension potential to the West Lode.

A compilation of significant results from the program are outlined in Table 2 in Schedule 1. Selected results on a hole-by-hole basis for the returned assays are shown below and in Figure 1:

- **5.56m @ 3.5g/t Au from 400m (22ABDD007A)**
- **6m @ 2.79g/t Au from 171m (22ABDD007)**
- **90m @ 0.6g/t Au from 250m, incl 9m @ 1.81g/t Au from 303m (22ABDD008)**
- **8.45m @ 3.46g/t Au from 414.5m and 13m @ 2.3 g/t Au from 317m (22ABDD010)**
- **60m @ 0.66g/t Au from 244m, incl 6.6m @ 2.32g/t Au from 272.7m (22ABDD011)**

The success of BMG’s recent drill programs, particularly the two completed DD programs in 2022, have added significant scale to the mineralised footprint at Abercromby. This is illustrated by the Orthographic view of modelled grade distribution in Figure 2, which highlights the broad band of mineralisation (green), punctuated by high-grade zones (red), across a 1.2km section at the Capital Prospect, which remains open in all directions. The delineation between the shallower oxidised zones and the deeper fresh rock zones is noted on the diagram, showing an even dispersion of mineralisation through the weathering profile, which runs from near surface and remains open at depth – as well as in both directions along strike.

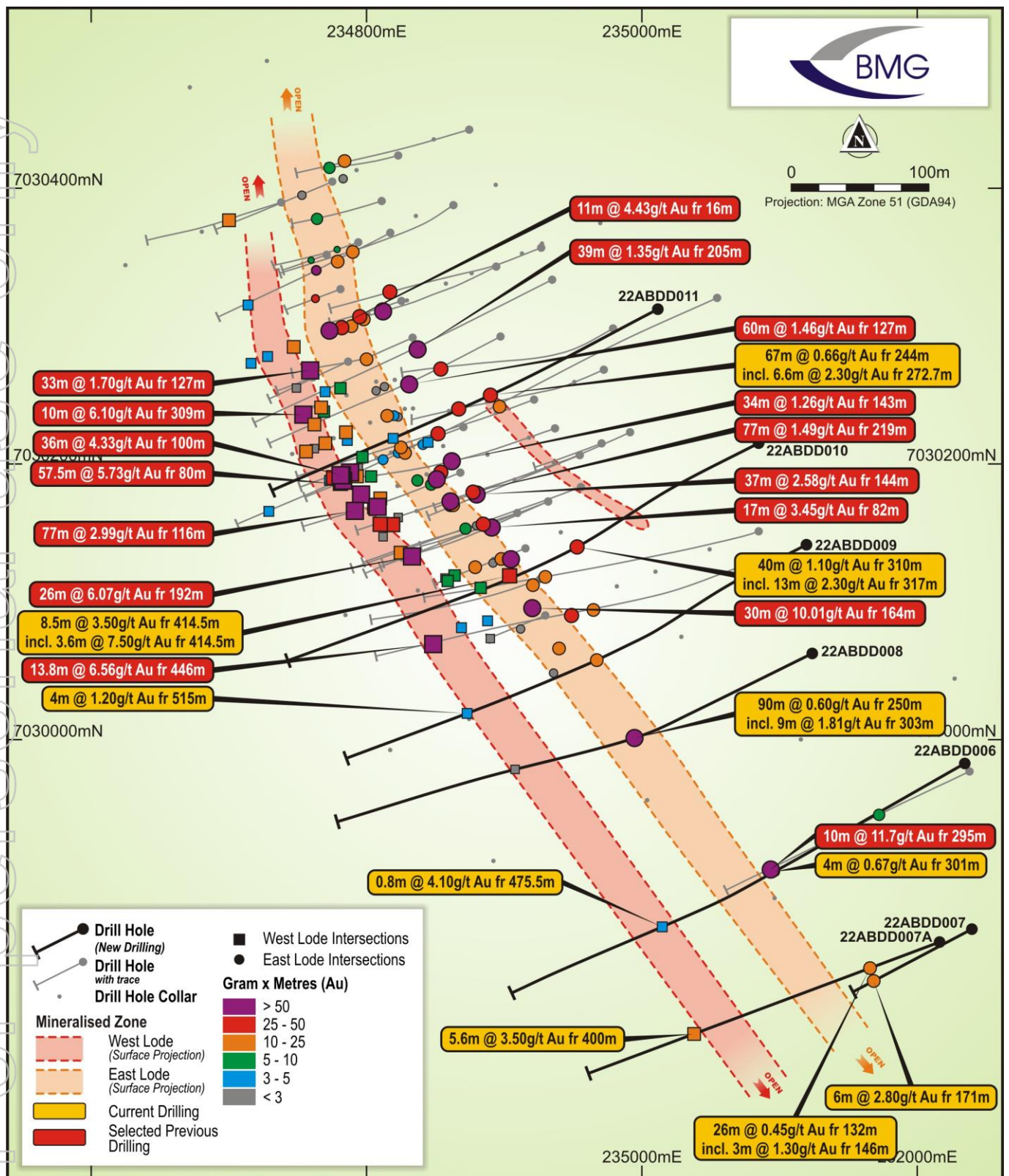


Figure 1 – Plan view of Capital Project showing interpreted lode positions and East and West Lode drill intercepts as gram-metre points and significant intercepts labelled. Holes completed as part of the diamond program are in bold and intercepts in yellow with prior high-grade intercepts in red

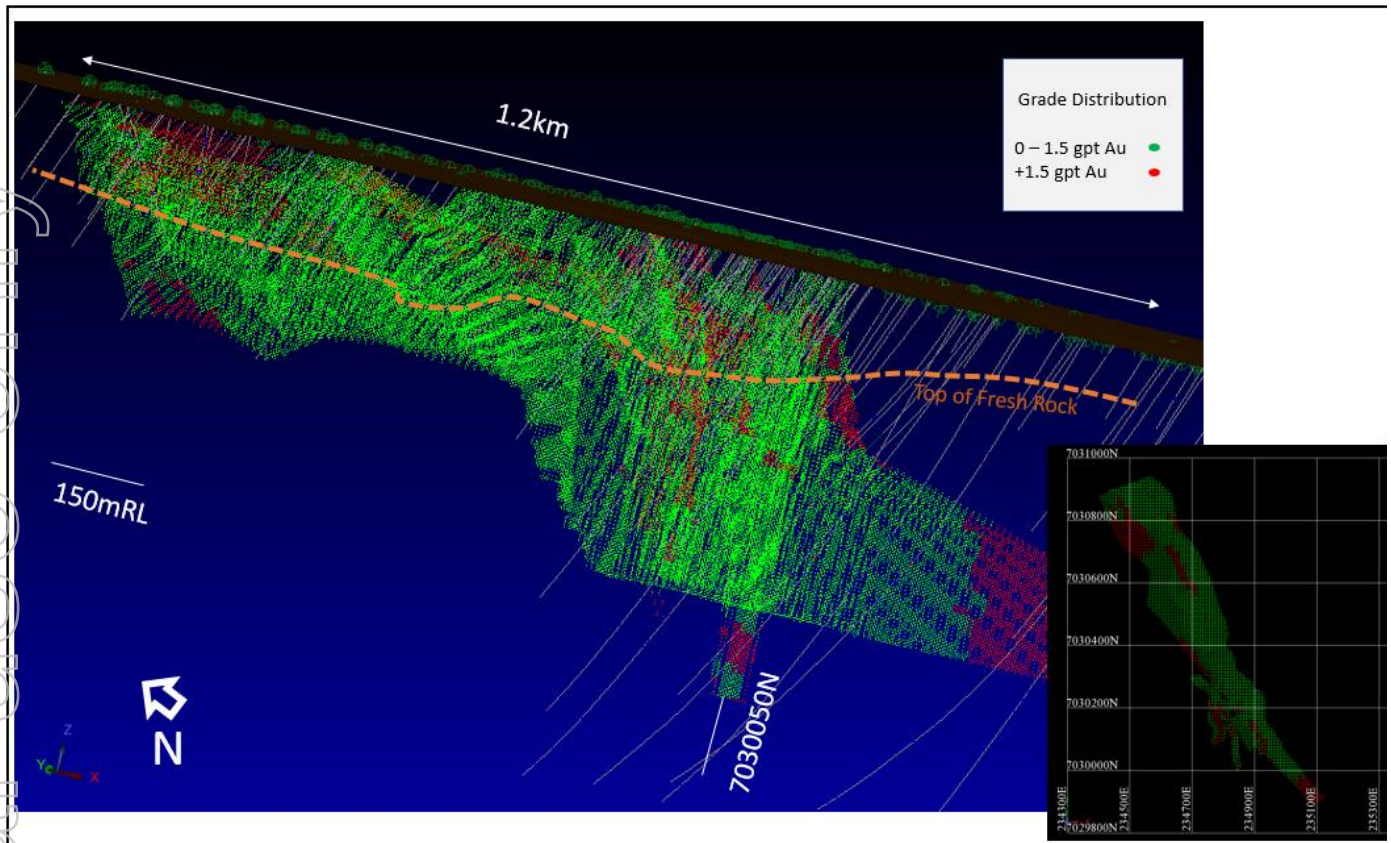


Figure 2 – Orthographic view of modelled grade distribution. Green zones = 0.5 to 1.5g/t Au, Red zones = +1.5g/t Au. The broken orange line indicates the top of fresh rock, and highlights the significant volume of near surface oxide gold mineralisation.

Next Phases of Work

The outstanding results from this program and the other recent RC and DD programs have continued to enhance the resource potential of the Abercromby Project. Further extensional and infill drilling is planned for H1 2023 to continue to scope the full potential of the expanding the mineralised footprint at Abercromby.

Metallurgical Test-work

BMG has engaged GR Engineering and Extreme Metallurgy to assist with further metallurgical test work on mineralised material from Abercromby. This will build upon the preliminary testwork undertaken in 2021 which indicated the nature of the Abercromby ore as free milling across the weathering profile from shallower oxidised zones to deeper fresh rock zones – as well as across the grade profile – refer ASX announcement on 19 April 2021 “*High Gold Recoveries (Average 90%) From Metallurgical Testwork of Abercromby Drill Samples*”.

A program has been designed to test two circa 50kg samples of fresh mineralised material. The results will feed into future planned mine feasibility work.

Next drilling program

A full analysis of the data returned from this round of drilling is in progress and further drilling will be planned once completed.

In addition, further drilling is being planned to follow-up the highly encouraging results from the testing of the southern portion of the tenement holding – refer ASX announcements on 2 May 2022 “*Aircore Highlights Significant Regional Gold Potential At Abercromby*” and 25 August 2022 “*Exploration Update – Abercromby Gold Project*”.

About the Abercromby Project:

The Abercromby Project is located on the Wiluna Greenstone Belt, one of Western Australia's most significant gold-producing regions with a gold endowment of +40Moz Au – second only to Kalgoorlie globally in terms of historic production.

The geology at Abercromby is very favourable for gold mineralisation, with historic drilling at Abercromby having intersected multiple thick intervals of high-grade gold mineralisation to confirm the presence of a large high-grade gold system.

BMG holds 100% of Abercromby, which comprises the gold and other mineral rights (ex-uranium) of two granted mining leases (M53/1095 and M53/336).



Figure 3 - Abercromby location in an established gold mining region with other major operations highlighted

This announcement has been authorised for release by Bruce McCracken, Managing Director of BMG Resources Limited.

ENDS

Competent Person Statement

The information in this report that relates to Exploration Targets, Exploration Results, Mineral Resources or Ore Reserves is based on information compiled by Mr Ben Pollard, a Competent Person who is a Member of the Australian Institute of Mining and Metallurgy. Mr Pollard is the Principal of Cadre Geology and Mining Pty Ltd and has been retained to provide technical advice on mineral projects.

Mr Pollard has sufficient experience that is relevant to the style of mineralisation and type of deposits under consideration and to the activity being undertaken to qualify as a Competent Person as defined in the 2012 Edition of the 'Australian Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves'. Mr Pollard consents to the inclusion in the report of the matters based on his information in the form and context in which it appears.

Disclaimer

Forward looking statements are statements that are not historical facts. Words such as "expects", "anticipates", "believes", "potential", "may" and similar expressions are intended to identify forward looking statements. These statements include, but are not limited to, statements regarding future production, resources and reserves and exploration results. All such statements are subject to risks and uncertainties many of which are difficult to predict and generally beyond the control of the Company, that could cause actual results to differ materially from those expressed in or implied by the forward looking statements. Investors should not construe forward looking statements as guarantees of future performance due to the inherent uncertainties therein.

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Schedule 1 – JORC Disclosures

Table 1 – Drill hole details for drill holes completed in the recent DD campaign at Abercromby.

Hole ID	Prospect	East	North	RL	Depth	Azi	Dip	Comment
22ABDD006	Capital	235236	7029983	504	664.7	248	-60	
22ABDD007	Capital	235241	7029862	504	206.8	248	-60	Abandoned*
22ABDD007A	Capital	235217	7029852	504	563.6	248	-60	
22ABDD008	Capital	235124	7030062	510	651.1	248	-60	
22ABDD009	Capital	235119	7030142	511	660.8	248	-60	
22ABDD010	Capital	235086	7030216	511	667.2	248	-60	
22ABDD011	Capital	235010	7030312	511	574.8	248	-60	

Table 2 - Compilation of Significant DD Results

Hole ID	EOH Depth	Intercept			Intercept			Comment
		Metres	Au g/t	From	Metres	Au g/t	From	
22ABDD006	664.7	4.0	0.67	301.0				
		0.8	4.10	475.5				
22ABDD007	206.8	6.0	2.79	171.0				Abandoned*
22ABDD007A	563.6	26.0	0.45	123.0	<i>incl</i>	3.0	1.32	146.0
		5.6	3.50	400.0				
22ABDD008	651.1	11.0	1.87	38.0				
		90.0	0.61	250.0	<i>incl</i>	9.0	1.81	303.0
22ABDD009	660.8	10.0	0.88	345.0				
		4.0	1.13	515.0				
22ABDD010	667.2	13.0	2.30	317.0				
		8.5	3.46	414.5	<i>incl</i>	3.5	7.49	414.5
22ABDD011	574.8	60.0	0.66	244.0	<i>incl</i>	6.6	2.32	272.7

* Terminal drill rod failure

Schedule 2 – TABLE 1. JORC Code, 2012 Edition

Section 1: Sampling Techniques and Data

Criteria	JORC 2012 Explanation	Comment
Sampling techniques	- Nature and quality of sampling (eg cut channels, random chips, or specific specialised industry standard measurement tools appropriate to the minerals under investigation, such as down hole gamma sondes, or handheld XRF instruments, etc). These examples should not be taken as limiting the broad meaning of sampling. - Include reference to measures taken to ensure sample representivity and the appropriate calibration of any measurement tools or systems used. - Aspects of the determination of mineralisation that are Material to the Public Report. In cases where 'industry standard' work has been done this would be relatively simple (e.g., 'reverse circulation drilling was used to obtain 1 m samples from which 3 kg was pulverised to produce a 30 g charge for fire assay'). In other cases, more explanation may be required, such as where there is coarse gold that has inherent sampling problems. Unusual commodities or mineralisation types (e.g., submarine nodules) may warrant disclosure of detailed information.	- The announcement refers to samples generated by Diamond Drilling (DD). - Each sample selected is sent for analysis to Nagrom in Kelmscott, Perth. - The sample is pulverised in the laboratory (total prep) to produce a sub sample for assaying. - All sampling was conducted using BMG QAQC sampling protocols which are in accordance with industry best practice. - All samples were prepared and assayed by an independent commercial laboratory whose instrumentation are regularly calibrated.
Drilling Techniques	Drill type (e.g. core, reverse circulation, open-hole hammer, rotary air blast, auger, Bangka, sonic, etc) and details (e.g. core diameter, triple or standard tube, depth of diamond tails, face-sampling bit or other type, whether core is oriented and if so, by what method, etc).	- Drilling is via DD - All holes were surveyed using a reflex Gyro north seeking gyroscopic instrument (or equivalent) to obtain accurate down-hole directional data where ground conditions allowed.
Drill sample recovery	- Method of recording and assessing core and chip sample recoveries and results assessed. - Measures taken to maximise sample recovery and ensure representative nature of the samples. - Whether a relationship exists between sample recovery and grade and whether sample bias	- Drilling recoveries are logged and recorded and captured within the project database. Core loss is noted where it occurs. - Some intervals of core loss result from highly weathered material in the regolith – where assays have been reported in these intervals, the missing interval has diluted at the reported assay grade of that interval - Each individual sample is visually checked for recovery, moisture, and contamination. - The style of expected mineralisation and the consistency of the mineralised intervals are expected to preclude any issue of sample bias due to material loss or gain.
Logging	- Whether core and chip samples have been geologically and geotechnically logged to a level of detail to support appropriate Mineral Resource estimation, mining studies and metallurgical studies. - Whether logging is qualitative or quantitative in nature. Core (or costean, channel, etc) - The total length and percentage of the relevant intersections logged.	- Core was geologically logged using predefined lithological, mineralogical, and physical characteristic (colour, weathering etc.) logging codes. - Logging was predominately qualitative in nature, although vein and sulphide percent was estimated visually. All new core has been photographed wet and dry. - Sulphides in the lode positions occur predominately as disseminated grains and rarely as fine stringers varying from 1 to 10% usually 1-3% rarely exceeding 10%. Pyrite dominates >95% with lesser arsenopyrite are rarely chalcopyrite. The sulphides typically occur on the margins of quartz veins or internal to the host rock. - All holes are logged in full

Criteria	JORC 2012 Explanation	Comment
Sub-sampling techniques and sampling preparation	- If core, whether cut or sawn and whether quarter, half or all core taken. - If non-core, whether riffled, tube sampled, rotary split, etc and whether sampled wet or dry. - For all sample types, the nature, quality, and appropriateness of the sample preparation technique. - Quality control procedures adopted for all sub-sampling stages to maximise representivity of samples. - Measures taken to ensure that the sampling is representative of the in-situ material collected, including for instance results for field duplicate/second-half sampling - Whether sample sizes are appropriate to the grain size of the material being sampled.	1m samples are taken, or to the mineralised/ geological boundaries with a min length of 0.3m and a max length of 1.5m - BMG drilling utilizes QAQC regime consisting of certified reference material checks, blanks, and duplicates. - Sample sizes are considered to be appropriate to correctly represent the geological model and the style of mineralisation.
Quality of assay data laboratory tests	- The nature, quality and appropriateness of the assaying and laboratory procedures used and whether the technique is considered partial or total. - For geophysical tools, spectrometers, handheld XRF instruments, etc, the parameters used in determining the analysis including instrument make and model, reading times, calibrations factors applied and their derivation, etc. - Nature of quality control procedures adopted (eg standards, blanks, duplicates, external laboratory checks) and whether acceptable levels of accuracy (ie lack of bias) and precision have been established.	- QAQC protocols utilising Certified Reference Material (standards), blanks and duplicates were used. All checks passed quality test thresholds. - All samples were prepared and assayed by an independent commercial laboratory whose instrumentation are regularly calibrated, utilising appropriate internal checks in QAQC.
Verification of sampling and assaying	- The verification of significant intersections by either independent or alternative company personnel. - The use of twinned holes. - Documentation of primary data, data entry procedures, data verification, data storage (physical and electronic) protocols. - Discuss any adjustment to assay data.	- Data collected in the field on paper and or digital logs, then transferred to the project database once collated and checked. - No twinned holes - All data is validated by the supervising geologist and sent to the Perth office for further validation and integration into a Microsoft Access database.
Location of data points	- Accuracy and quality of surveys used to locate drill holes (collar and down-hole surveys), trenches, mine workings and other locations used in Mineral Resource estimation. - Specification of the grid system used. - Quality and adequacy of topographic control.	- Drill holes were located using handheld GPS. - Drill hole collar positions will be accurately surveyed utilising DGPS survey equipment to an accuracy of +/- 0.01m. Down holes surveys were completed using gyro. - The grid system used for locating the collar positions of drillholes is GDA2020. RL's referenced are AHDRL.
Data spacing and distribution	- Data spacing for reporting of Exploration Results. - Whether the data spacing and distribution is sufficient to establish the degree of geological and grade continuity appropriate for the Mineral Resource and Ore Reserve estimation procedure(s) and classifications applied. - Whether sample compositing has been applied.	- Drilling has been completed on a variable grid drilled orthogonal to the mineralisation, generally toward 248° - Data spacing and distribution is so far thought to be insufficient to establish the degree of geological and grade continuity appropriate for Mineral Resources – establishing it will be the primary goal of the next round. - Raw samples have not been composited.
Orientation of data in relation to geological structure	- Whether the orientation of sampling achieves unbiased sampling of possible structures and the extent to which this is known, considering the deposit type. - If the relationship between the drilling orientation and the orientation of key mineralised structures is considered to have introduced a sampling bias, this should be assessed and reported if material.	The drilling is predominantly conducted at -60 degrees orthogonal to strike and as such drill holes intersect the mineralisation close to perpendicular. As such, the orientation of drilling is not likely to introduce a sampling bias.
Sample Security	The measures taken to ensure sample security.	Chain of custody protocols used for the new BMG drill samples ensures sample security and integrity.
Audits and Reviews	The results of any audits or reviews of sampling techniques and data.	No audits or reviews of the sampling techniques and data have been undertaken to date.

Section 2: Reporting of Exploration Results

(Criteria listed in the preceding section also apply to this section.)

Criteria	JORC 2012 Explanation	Comment
Mineral tenement and land tenure status	- Type, reference name/number, location and ownership including agreements or material issues with third parties such as joint ventures, partnerships, overriding royalties, native title interests, historical sites, wilderness or national park and environmental settings. - The security of the tenure held at the time of reporting along with any known impediments to obtaining a licence to operate in the area.	- The gold and other mineral rights (ex uranium and thorium) hosting the Abercromby deposit are owned 100% by BMG. No material issues exist with the underlying tenure. - The tenements are in good standing.
Exploration done by other parties.	Acknowledgment and appraisal of exploration by other parties.	- Gold exploration at the Project area has been carried out by three previous explorers – CRA in 1995/97, Outokumpu in 2001 and Perilya in 2004. - CRA initially identified gold mineralisation at Abercromby in 1995. They completed 84 drill holes – 82 reverse circulation (RC)/Percussion and 2 RC/diamond in the Capital area. Holes were initially drilled on 200m, and some infill 100m, spaced traverses. Holes were generally 60m and lesser 120m apart. All bar 6 of the RC holes drilled to the west at -60 degrees. Final hole depths varied from 75m to 183m deep. The remaining 6 RC holes were drilled vertically. - Though CRA located and drilled tested the gold mineralisation the hole spacing is relatively broad and considered ineffective to test potential continuity between holes. - Outokumpu completed a small number of drill holes. It is believed the company did not pursue the gold opportunity but instead focused on nickel exploration at Honeymoon Well which was their priority target. - Perilya was the last dedicated gold explorer at the Project under a joint venture earn-in arrangement. Whilst further work was planned to follow-up on initial gold intersections, Perilya elected to pursue other 100% owned exploration opportunities in its portfolio. - Norilsk Nickel completed some drilling on the project in 2007/2008 but mostly to satisfy expenditure commitments.
Geology	Deposit type, geological setting and style of mineralisation.	- Abercromby is a lode hosted orogenic gold deposit typical in type to much of the gold occurrences in Western Australia's Eastern Goldfields. - The lode is developed amongst Archaean mafic rocks and gold is generally hosted by the sheared and quartz veined host.
Drill hole Information	- A summary of all information material to the understanding of the exploration results including a tabulation of the following information for all Material drill holes: - easting and northing of the drill hole collar - elevation or RL (Reduced Level – elevation above sea level in metres) of the drill hole collar - dip and azimuth of the hole - down hole length and interception depth - hole length. - If the exclusion of this information is justified on the basis that the information is not Material and this exclusion does not detract from the understanding of the report, the Competent Person should clearly explain why this is the case.	The details of drill holes material to the exploration results/mineral resource are presented in Table 1 of schedule 1 in the document.

Criteria	JORC 2012 Explanation	Comment
Data aggregation methods	<i>In reporting Exploration Results, weighting averaging techniques, maximum and/or minimum grade truncations (e.g. cutting of high grades) and cut-off grades are usually Material and should be stated.</i> <i>Where aggregate intercepts incorporate short lengths of high-grade results and longer lengths of low grade results, the procedure used for such aggregation should be stated and some typical examples of such aggregations should be shown in detail.</i> <i>The assumptions used for any reporting of metal equivalent values should be clearly stated.</i>	- Length weighted averaging of the drill hole intercepts are applied. No maximum or minimum grade truncations are used in the calculations. - The reported assays have been length weighted averages. A lower arbitrary cut off is not applied, rather, intervals are selected based on continuous anomalism, with no top cut applied. High grade intercepts internal to broader zones of mineralisation are reported as included intervals. If an interval includes core loss, the lost interval is accounted for at zero g/t Au. - No metal equivalents have been used.
Relationship between mineralisation widths and intercept lengths	<i>These relationships are particularly important in the reporting of Exploration Results.</i> <i>If the geometry of the mineralisation with respect to the drill hole angle is known, its nature should be reported.</i> <i>If it is not known and only the down hole lengths are reported, there should be a clear statement to this effect (e.g. 'down hole length, true width not known').</i>	- Drill hole intersections may not be true widths – but generally thought to be around 90% of true width. - The gold mineralisation identified to date at Abercromby consists of a number of interpreted mineralised lodes striking approximately 340° and dipping steeply (80°-85°) to the east. Drilling is predominantly conducted at -60 degrees orthogonal to strike and as such drill holes intersect the mineralisation as close to perpendicular as possible.
Diagrams	<i>Appropriate maps and sections (with scales) and tabulations of intercepts should be included for any significant discovery being reported. These should include, but not be limited to a plan view of drill hole collar locations and appropriate sectional views.</i>	Refer to Figures in the text.
Balanced reporting	<i>Where comprehensive reporting of all Exploration Results is not practicable, representative reporting of both low and high grades and/or widths should be practiced to avoid misleading reporting of Exploration Results.</i>	All significant results are reported.
Other substantive exploration data	<i>Other exploration data, if meaningful and material, should be reported including (but not limited to): geological observations; geophysical survey results; geochemical survey results; bulk samples – size and method of treatment; metallurgical test results; bulk density, groundwater, geotechnical and rock characteristics; potential deleterious or contaminating substances.</i>	All significant results are reported.
Further work	<i>The nature and scale of planned further work (eg tests for lateral extensions or depth extensions or large-scale step-out drilling).</i> <i>Diagrams clearly highlighting the areas of possible extensions, including the main geological interpretations and future drilling areas, provided this information is not commercially sensitive.</i>	- Exploration within the Abercromby Project is ongoing. - BMG Resources is focusing on staged development drilling at Abercromby in addition to mine planning, metallurgical studies and development studies as required. - Exploration drilling at priority targets over the next 12 months is planned. - Future exploration programs may change depending on results and strategy.